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Current Population Survey (CPS): A Look into Income Drivers

Economic inequality has been defined as “*the extent to which income and wealth are distributed unevenly over the population.*”¹ As the definition suggests, a distinction can be made between wealth and income inequality. In this context, wealth refers to the total value of an individual’s net assets at a particular time. Income, on the other hand, refers to the flow of money an individual receives over a period.

There has been growing concern over the rate at which income inequality has increased. For example, in the United States, from 1970 to 2021, the richest 1% increased their income from 11% to 19%, while the bottom 50% decreased their income share from 21% to 14%.² This phenomenon has originated research on the causes, effects, and ways to measure income inequality. It has not been an easy task. As one author put it, “*trying to identify all the causes of income inequity is like trying to track an entire forest to the first seedling.*”³

One attempt at identifying the causes of income inequality is to make a distinction between *inequality* and *inequity*. Income inequality simply refers to the fact that some people make more money than others. This difference can be derived from compensation policies in organizations that seek to retain top talent, motivate employees, and reward talent and effort. However, in some cases, variations in income are not directly related to those factors, but rather to other demographic factors such as race and gender. In this case, we can talk about *income inequity*, which can be detrimental to organizations and is associated to more turnover, higher levels of employee dissatisfaction, and lower financial returns.

The data

The Current Population Survey (CPS) is a household sample survey conducted monthly by the Census Bureau provide estimates of employment, unemployment, and other characteristics of the general labor force in the United States. The survey covers employment, earnings, educational

¹ 9-315-050 Note on Economic Inequality (2015). Rose, Clayton and Sesia, Aldo. Harvard Business School.

² Data taken from <https://wid.world/country/usa/>. Accessed on Feb 28, 2023

³ 9-210-062 Income Inequity and Income Inequality. Rouen, Ethan and Furukawa, Akari. Harvard Business School.

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attainment, income, poverty, health insurance coverage, job experience, voting and registration, computer usage, veteran status, and other variables.

Is there a relationship between income and demographic variables? Try to answer this question with the data you have available (**Exhibit A**)

Note: The dataset you are provided was extracted from March 2009 CPS Survey, it is neither the annual dataset nor contains all variables. For a more complete dataset, The US Census bureau publishes every year a Current Population Survey Annual Social and Economic Supplement (ASEC) which is open access.⁴ Currently, it features yearly datasets from 1998 to 2022. 2022 dataset has 152,733 observations for 161 variables. It is one of the best recognized surveys in the United States and has enormous value for studying the economic and social well-being of the United States population.⁵

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⁴ <https://www.census.gov/data/datasets/time-series/demo/cps/cps-asec.html>

⁵ <https://www.census.gov/programs-surveys/cps/about.html>

Exhibit A

The data set cps09mar.csv contains data extracted from the March 2009 CPS survey. It includes data on individuals with non-allocated variables who were full-time employed (defined as those who had worked at least 36 hours per week for at least 48 weeks the past year) and excluded those in the military. This sample had 50, 742 individuals. The data set contains 12 variables on those individuals.

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Variable	Comment
age	years, capped at 85
female	1 if female, 0 otherwise
hisp	1 if Spanish, Hispanic, or Latino, 0 otherwise
education	0: Less than 1 st grade 4: 1 st , 2 nd , 3 rd , or 4 th grade 6: 5 th or 6 th grade 8: 7 th or 8 th grade 9: 9 th grade 10: 10 th grade 11: 11 th grade or 12 th grade with no high school diploma 12: High school graduate, high school diploma or equivalent 13: Some college but no degree 14: Associate degree in college, including occupation/vocation programs 16: Bachelor's degree or equivalent (BA, AB, BS) 18: Master's degree (MA, MS, MENG, MED, MSW, MBA) 20: Professional degree or Doctorate degree (MD, DDS, DVM, LLB, JD, PHD, EDD)
earnings	total annual wage and salary earnings <u>in US dollars</u> .
hours	number of hours worked per week
week	number of weeks worked per year
union	1 for member of a labor union, 0 otherwise
uncov	1 if covered by a union or employee association contract, 0 otherwise
region	1: Northeast 2: Midwest 3: South 4: West

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race	1: White only 2: Black only 3: American Indian, Alaskan Native (AI) only 4: Asian only 5: Hawaiian/Pacific Islander (HP) only 6: White-Black 7: White-AI 8: White-Asian 9: White-HP 10: Black-AI 11: Black-Asian 12: Black-HP 13 AI-Asian 14 Asian-HP 15 White-Black-AI 16 White-Black-Asian 17 White-AI-Asian 18 White-Asian-HP 19 White-Black-AI-Asian 20 2or3races 21 4 or 5 races	Formatted: English (US)
marital	1: Married - civilian spouse present 2: Married - Armed Forces spouse present 3: Married - spouse absent (except separated) 4: Widowed 5: Divorced 6: Separated 7: Never married	Formatted: English (US) Formatted: English (US) Formatted: English (US) Formatted: English (US) Formatted: English (US) Formatted: English (US) Formatted: English (US) Deleted: ¶ Page Break
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